ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 11 - BOND MEGA-TRADES

The final lesson for July's content focuses on Mega trades in the bond market.

- Like other content for the month, the focus is on seasonal tendencies, which are very specific and repeating phenomena in the bond market.

- The seasonal tendency for 30-year treasuries generally shows weakness at the beginning of the year, trading down into a seasonal low that takes place between May and June.

- This May/June seasonal low is the number one setup to be looking for every year.

MAY/JUNE SEASONAL LOW - PROBABILITY AND CAUTION

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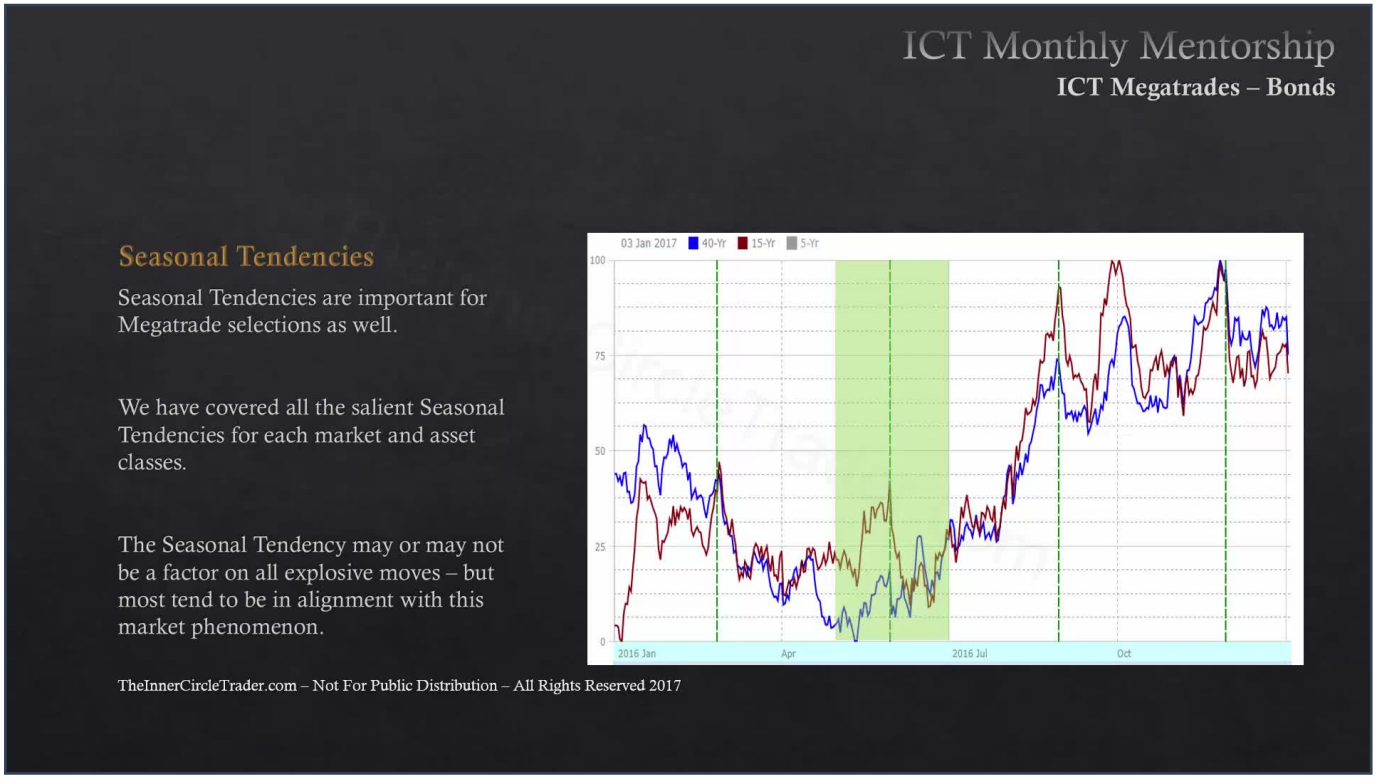


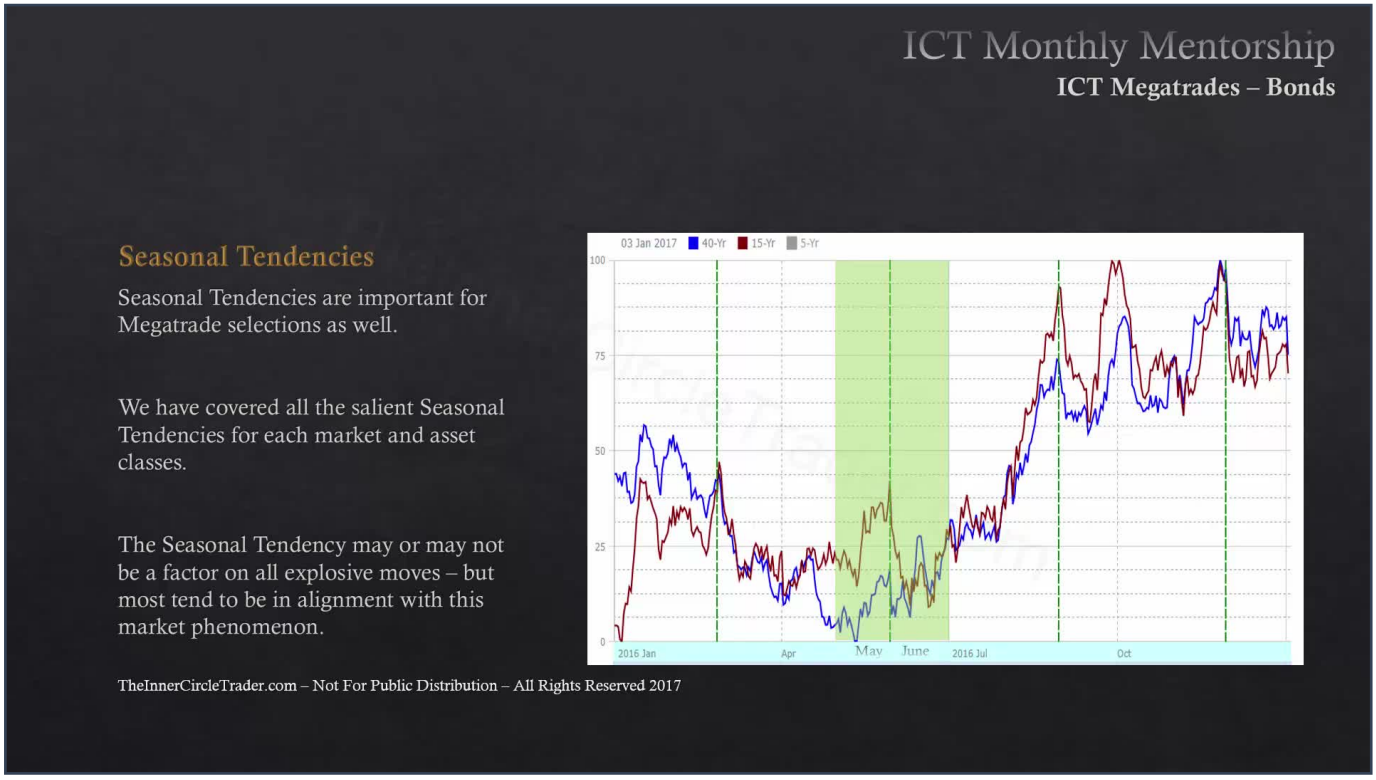
A May/June seasonal tendency low, while historically observed, is not a guarantee every single year.

- It signifies a high-odds probability of making a low, not a 100 percent Panacea.

- Forcing trades based on this tendency will likely lead to losses.

- The primary focus should be on the May/June time period every year for the formation of a low in the bond market.

- Traders can either anticipate weakness at the beginning of the year down into this May/June period or wait for May/June and anticipate technicals to align with fundamentals for a statistically proven seasonal low in spring/early summer.

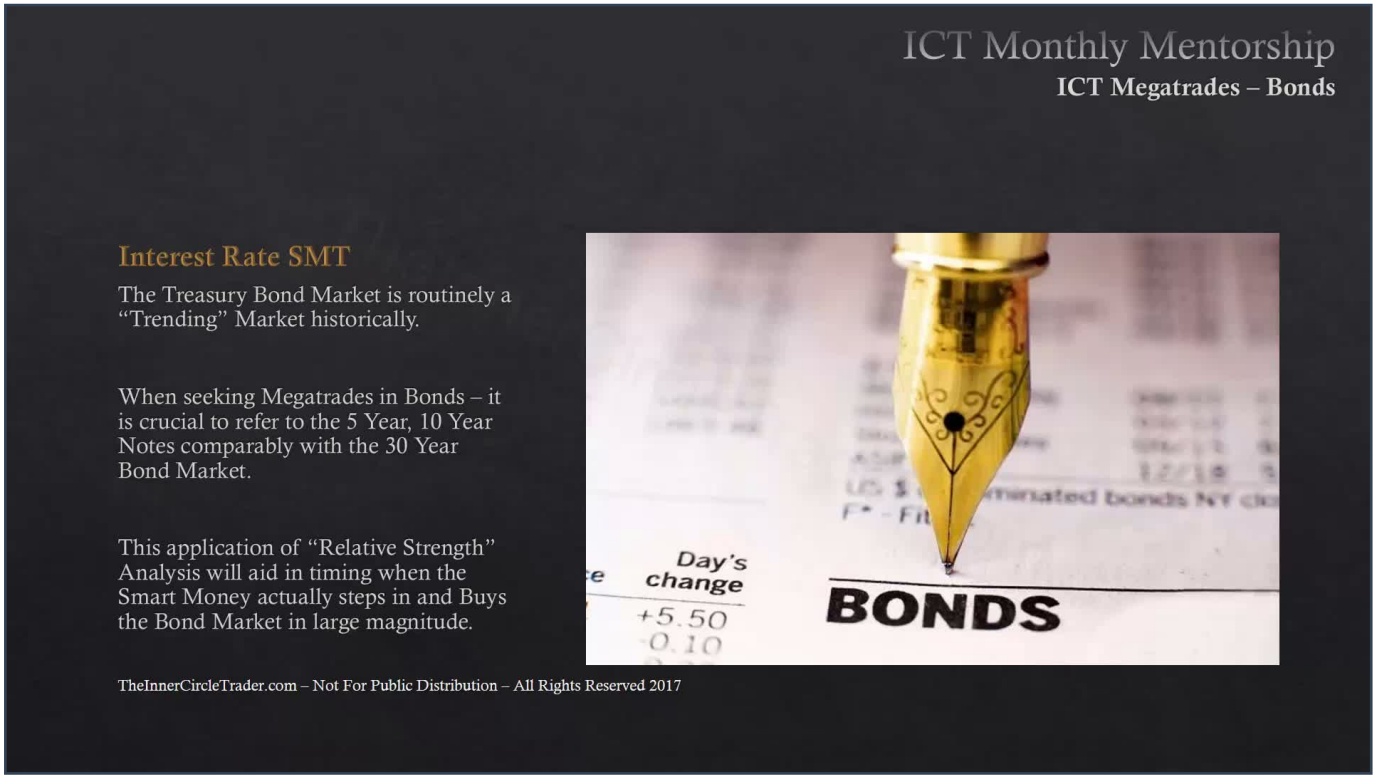


- Later in the year, September, October, and November often see rallies, generally short-term in nature, suitable for short-term swing trading.

- However, the primary focus for Mega trades is the May/June time period for bonds.

- The 'interest rate SMT' (Smart Money Tool) is the 'silver bullet' for qualifying and confirming that a mega trade is unfolding.

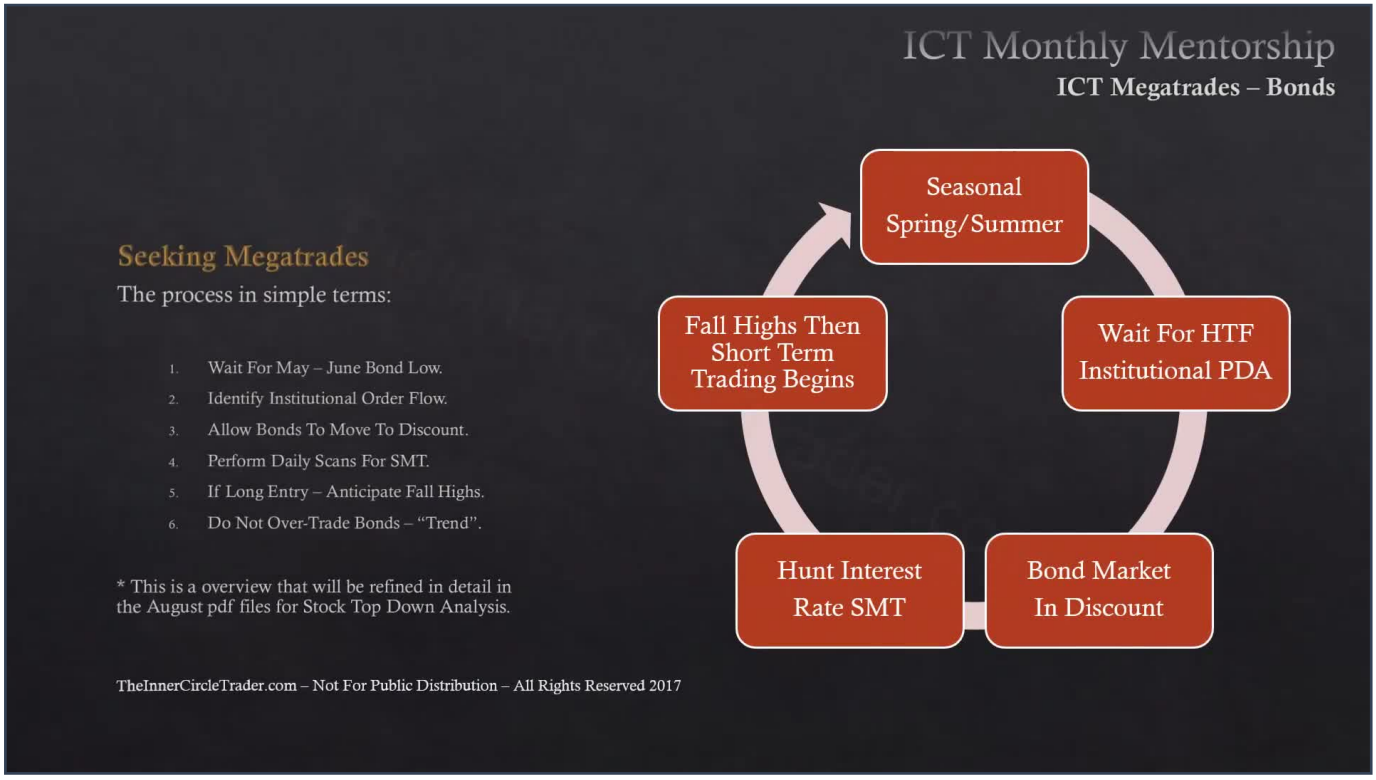
- The treasury bond market is routinely a trending market, historically moving in trending environments and tending to stay in long-term trends.



- When seeking Mega trades in bonds, it is crucial to refer to the 5-year and 10-year notes comparably with the 30-year bond market.

- This application of relative strength analysis helps time when 'smart money' steps in and buys the bond market in large magnitude.

- While the May/June seasonal low provides a statistical edge, a significant rally from these lows cannot be qualified until an SMT Divergence is observed across the 5-year, 10-year, and 30-year bond markets.



To simplify the process of identifying a bond mega trade:

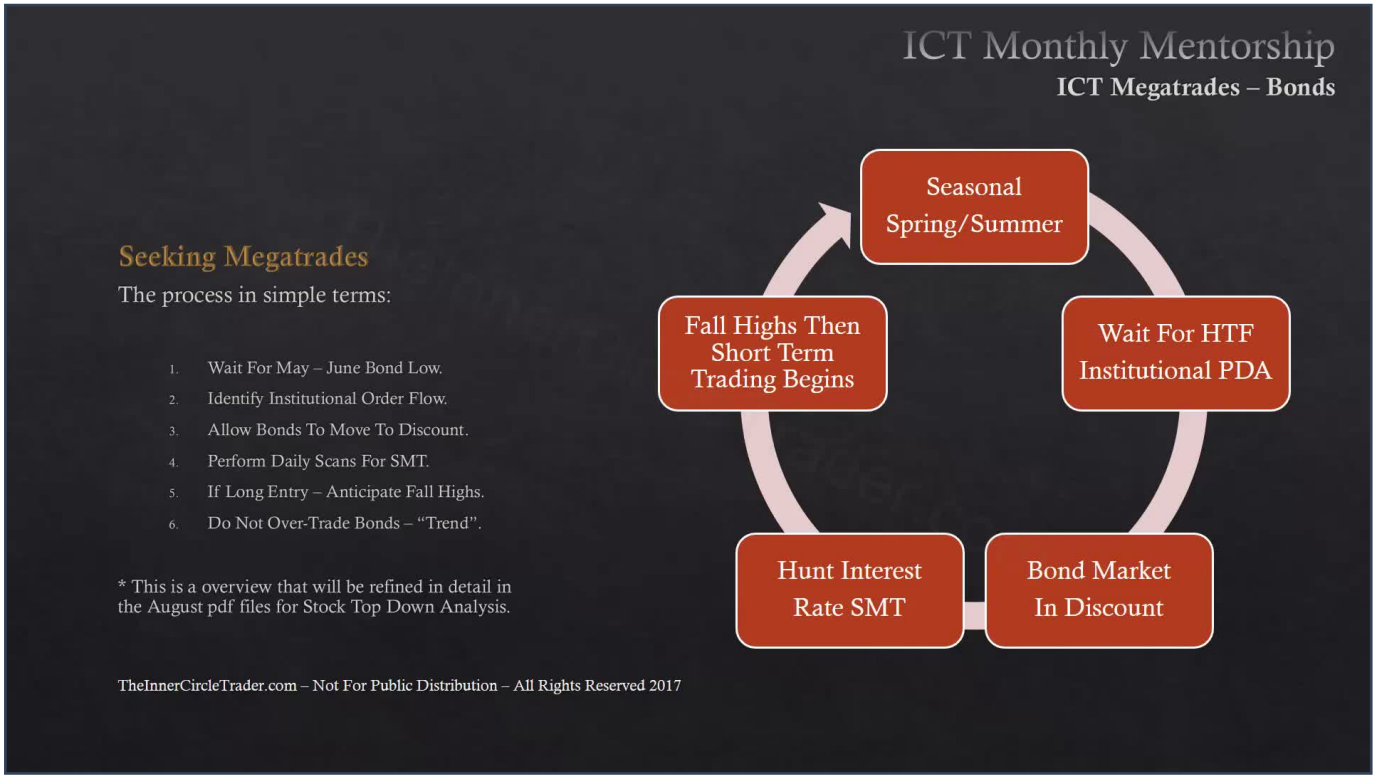
- First, look for a seasonal tendency that forms in late spring/early summer, specifically the May/June Bond low.

- Next, identify institutional order flow by waiting for a higher time frame institutional PDA (Price Delivery Array). This anticipates bullishness based on the seasonal tendency.

- When the market moves into a 'discount Market,' the stage is properly set.

- Then, perform a daily scan for the interest rate SMT Divergence between the 5-year, 10-year, and 30-year treasuries.

- Once an entry is established based on institutional order flow and specific entry techniques, anticipate a move duration into the fall months, targeting fall highs, generally around the September/October time period for intermediate-term highs.



- After the anticipated fall highs, short-term trading characteristics begin for bonds.

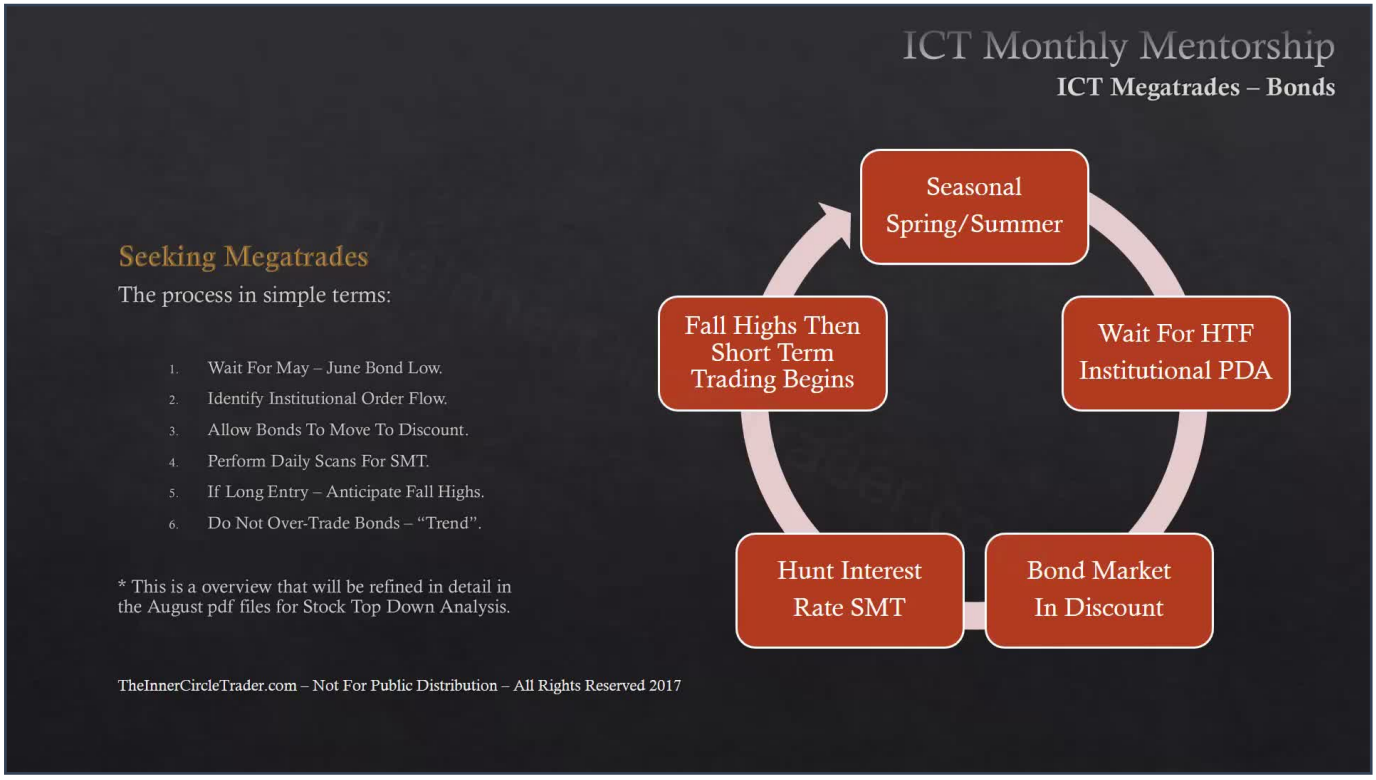
- This process should be a yearly routine, but overtrading bonds should be avoided.

- The main objective is to wait for the May/June time period to initiate a trend that can last over several calendar months.

- Following this approach develops discipline and provides a clear, objective method for trading bonds, proving very consistent for long-term swing and position traders.

- The method also provides the basis for day trades (one-shot one-kills) in the direction of the larger trend, making it comprehensive for all aspects of trading, from short-term day trading and scalping to swing trading and position trading.

- Bonds are a 'pet market' for ICT; if forced out of Forex, he would confidently return to the bond market.



- ICT expresses high confidence in trading the bond market, even though his passion lies with the Foreign Exchange Market due to its 'loaded with manipulation' nature, which he understands.

- If Forex ever becomes untradable, he would confidently transition to trading commodity futures and the bond market without fear of finding consistency.

- This personal confidence highlights the robustness of the methodology.

- Furthermore, big moves in bonds that start between May and June and last for long durations can fuel other markets, causing them to enter trending environments.

- Conversely, if a low does not form in May/June, it signals other market dynamics, which will be discussed in the August PDF notes and content.

- The primary focus remains on anticipating a low forming in the bond market during May/June and a subsequent rally in the months that follow.

- Examining an example using the 5-year Treasury Note (top), 10-year Treasury Note (middle), and 30-year Treasury Bond (bottom).

- The goal is to train the eye to anticipate specific turning points.

- First, observe a swing high, retracement, and another swing high forming on all three charts. At these highs, an SMT Divergence confirms a down move: the 5-year shows a higher swing high, while the 10-year and 30-year show lower highs.

- The focus then shifts to the subsequent low. At this low, another SMT Divergence is observed:

  - The 5-year makes a lower low.

  - The 10-year makes a higher low.

  - The 30-year makes almost equal lows.

- This is the 'interest rate SMT Divergence'.

THE CRACK IN CORRELATION - SMART MONEY FOOTPRINT

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- The SMT Divergence occurs when the 10-year Treasury Note fails to make a lower low, while the 5-year makes a lower low, and the 30-year makes an equal low.

- This is the 'crack in the correlation' that is normally expected amongst the bond and treasury markets.

- The 5-year, 10-year, and 30-year treasury markets should generally move in tandem. When they diverge, it draws special attention to a potential smart money accumulation pattern.

- Smart money, due to the large volume of their trading, spreads risk across short-term (5-year), intermediate-term (10-year), and long-term (30-year) yields.

- This immense volume and order placement create a crack in the correlation, leaving a 'smart money footprint' that can be used to frame Mega trades.

SMT DIVERGENCE VISUAL CONFIRMATION EXAMPLE

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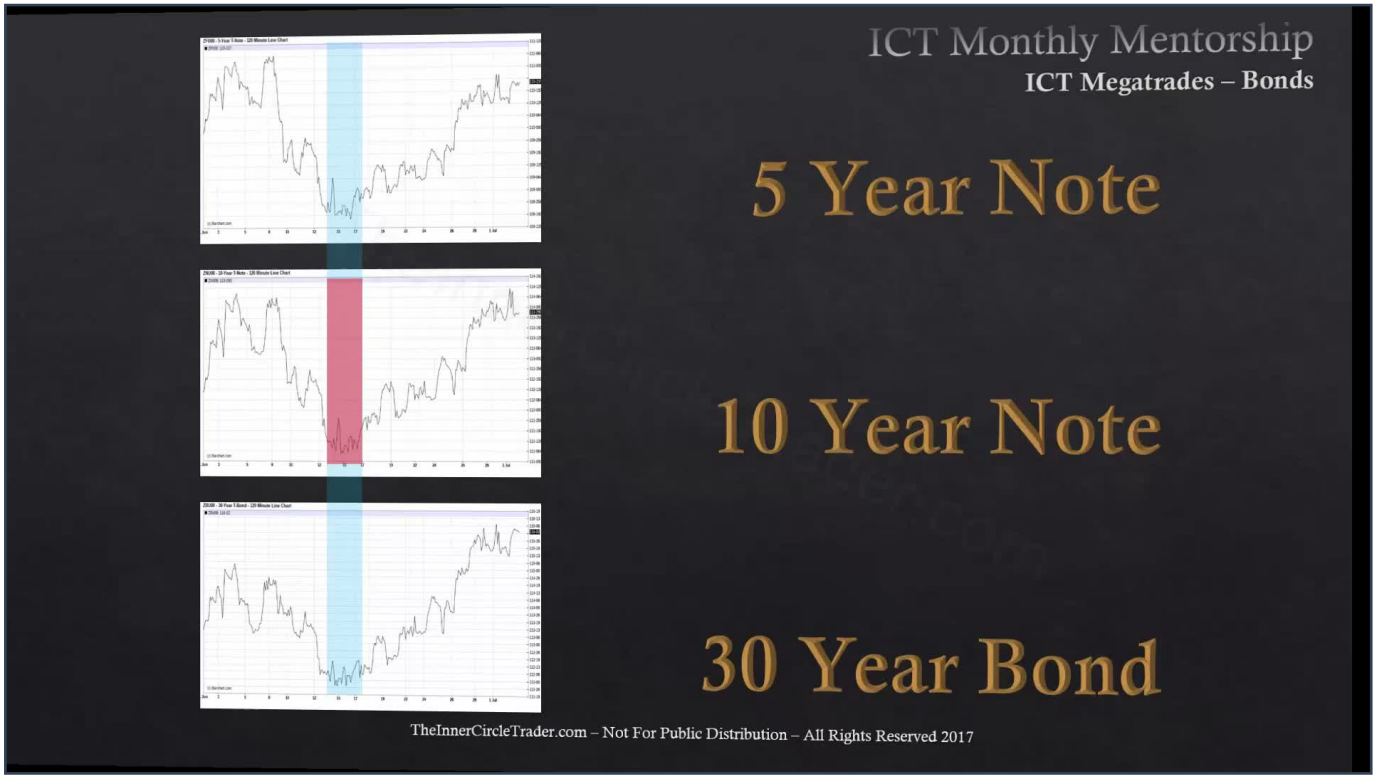

- Focusing on a specific example of the SMT Divergence:

  - The 5-year Treasury Note makes a distinct lower low.

  - The 10-year Treasury Note shows divergence by making a higher low.

  - The 30-year Treasury is relatively unchanged or makes an equal low.

- This combination signifies an SMT Divergence, representing the 'crack in the correlation' normally expected in the bond and treasury markets.

- This divergence highlights a potential smart money accumulation pattern.

- The next step is to examine this phenomenon on a daily time period, starting with June 2008.

2008 MEGA TRADE EXAMPLE - SEASONAL LOW TO SEPTEMBER RALLY

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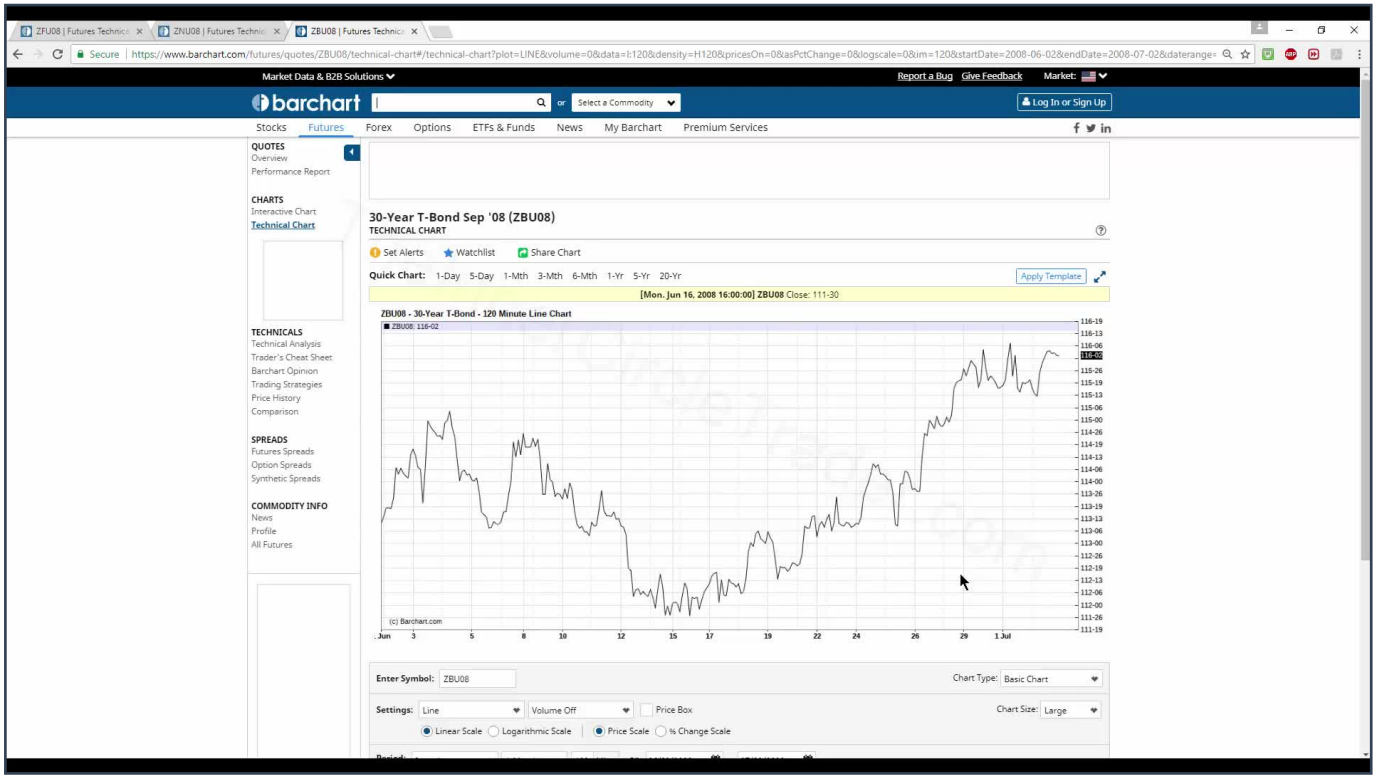

- Examining the 2008 September contract for the 5-year Treasury Note, the seasonal low formed in June, as anticipated by the May/June seasonal tendency.

- An intraday SMT Divergence was present at this low, as previously demonstrated.

- Entering as a buyer in the 30-year bond market around 112.5 (hypothetically) from this June seasonal low, the market rallied approximately 12,000 dollars per contract by September's contract expiration.

- This significant move qualifies as a 'mega trade' in the bond market.

- Additionally, the early portion of the year saw a decline, trading down into the May/June period, fulfilling the anticipated seasonal tendency.

2008 MEGA TRADE EXAMPLE - DECEMBER CONTRACT AND SMT DIVERGENCE

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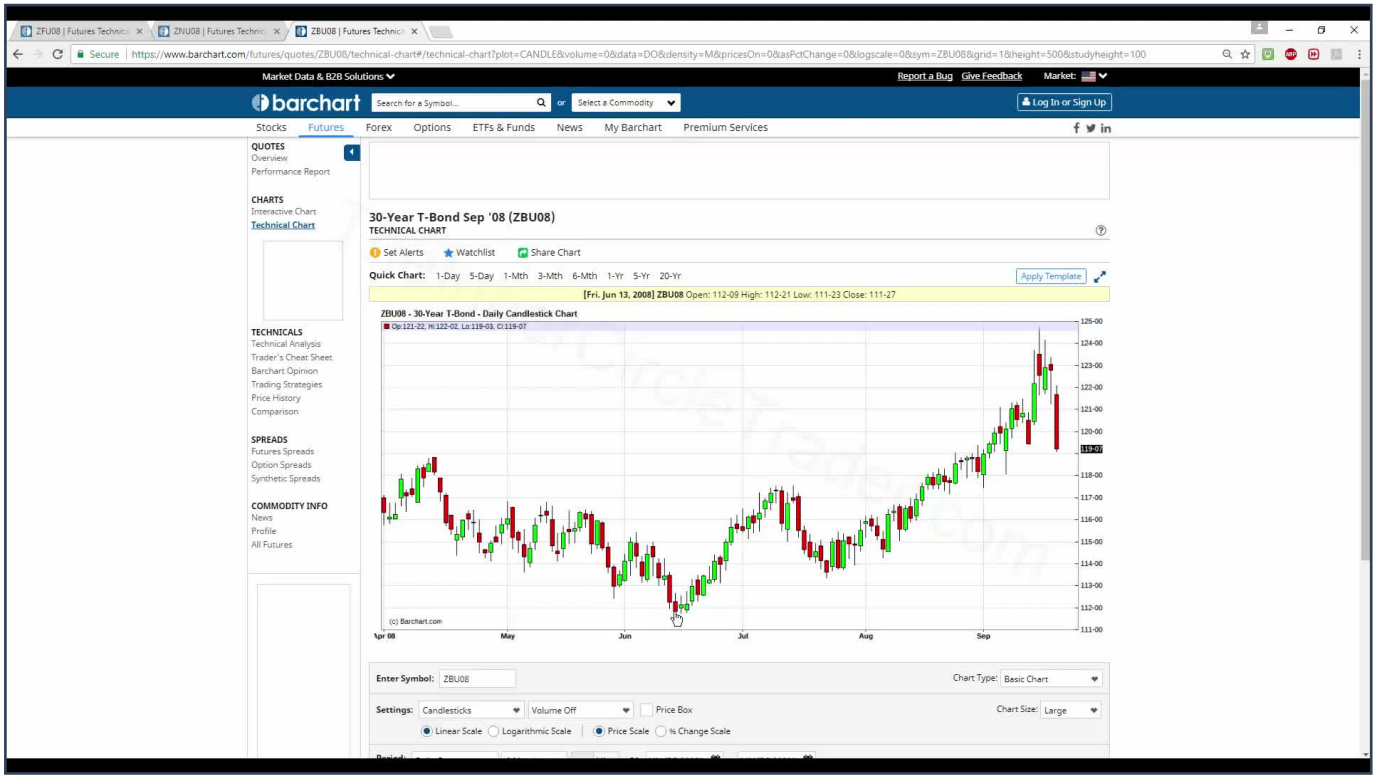

- Observing the December 2008 delivery contract during the September/October seasonal rally period:

  - The 5-year Treasury Note showed basically equal or slightly higher lows while in consolidation.

  - The 10-year Treasury Note made a distinct lower low, creating an SMT Divergence with the 5-year.

  - The 30-year Treasury Bond also made a lower low.

- This setup, using the SMT Divergence and expected seasonal rally, led to an impressive rally. Hypothetically, taking a long position at 114 resulted in approximately 28,000 dollars per contract profit on the 30-year Treasury Bond.

- This demonstrates a 'huge, huge, huge' move, occurring after the market had moved down into a discount array, broke all premium arrays, and rallied towards a higher time frame objective.

HIGHER TIME FRAME CONFIRMATION AND 2009 MAY/JUNE SETUP

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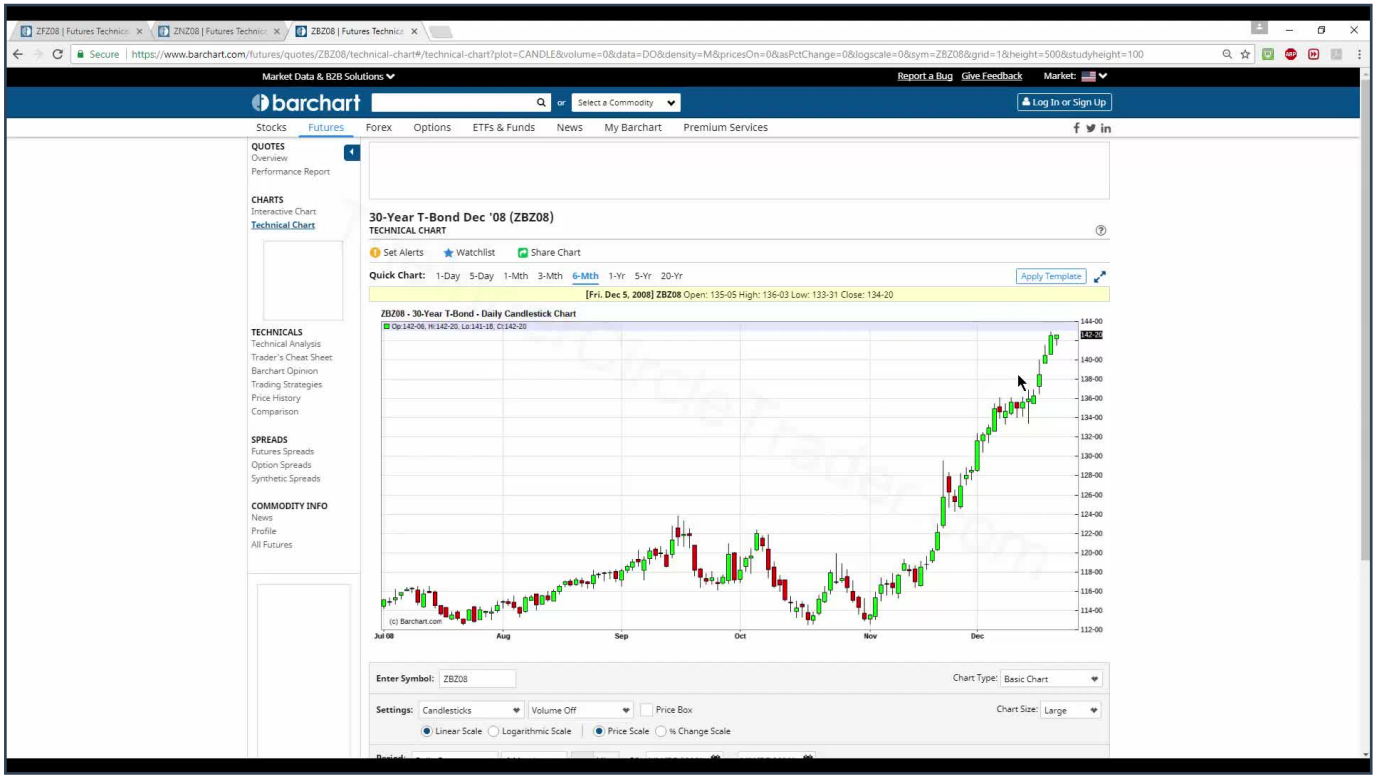


- On a higher time frame (weekly chart), the 114 level was located within a bullish order block and took out short-term sell stops, preceding the extrapolated move.

- Price had moved down into a discount array, ran stops, hit the bullish order block, resulting in an explosive price rally.

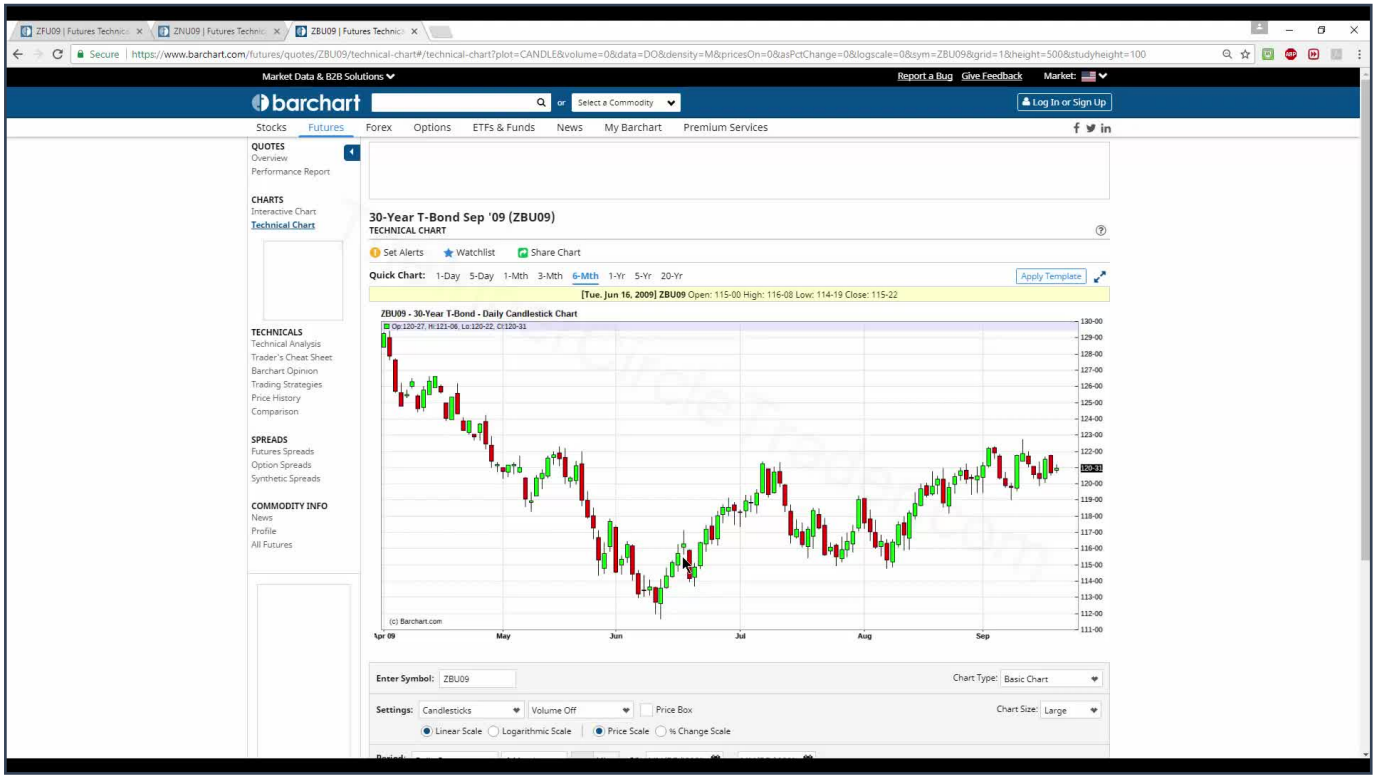
- For the 2009 setup, during the May/June time period:

  - The 5-year Treasury Note formed a higher low, meaning its old low was not broken.

  - The 10-year Treasury Note immediately made a lower low.

  - The 30-year Treasury Bond also made a lower low in the May/June period.

- This presented an SMT Divergence, with the 5-year showing relative strength (higher low) against the 10-year and 30-year (lower lows). An entry could be considered around the 114 level, which was a return to an order block.



- With an assumed entry at 114 (a 'nice big round figure' near an order block where the low was 113.21-113.22), the 2009 May/June setup yielded approximately 8,500 dollars per contract on the September contract.

- By rolling the position from the September contract into the December delivery contract, an additional 3,000 dollars in price movement was captured, maximizing the advantage of the seasonal tendency.

- The September/October/November time period also provided opportunities for short-term traders to anticipate bullishness, resulting in roughly 3,000-5,000 dollars in price action for each of these short-term rallies.

- While individual short-term rallies might not be considered 'mega trades,' the initial May/June entry resulting in a move up to 120.316 (based on the 5-year failing to make a lower low while the 10-year and 30-year did go lower) constituted a beautiful unfolding of the seasonal tendency and mega trade.

2010 SETUP - IDENTIFYING SMT IN AN EXISTING TREND

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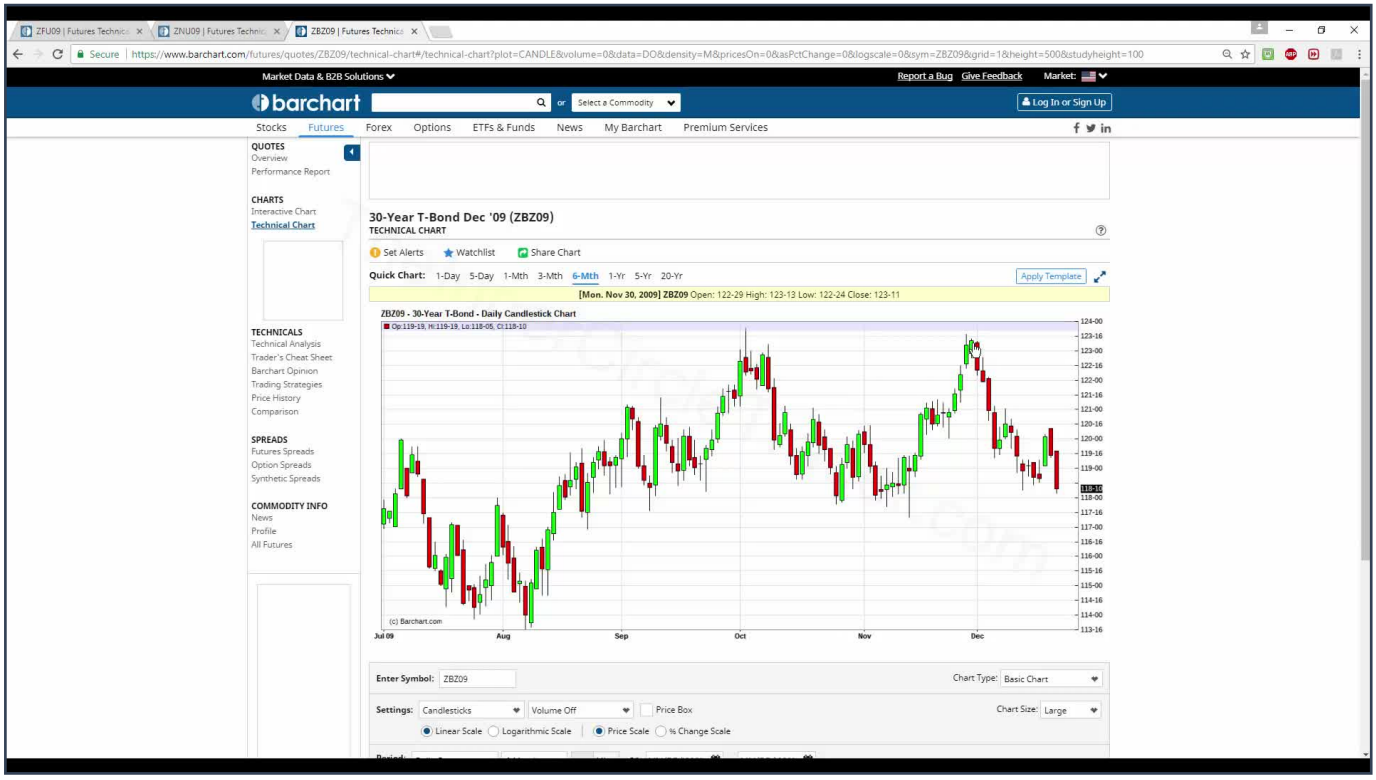

- For the 2010 September contract, the 5-year Treasury Note shows that the market was already in a trending environment during the May/June period.

- The 10-year and 30-year Treasury Bonds exhibited similar trending behavior.

- To identify the SMT Divergence in this context, a closer look at the mid-May to mid-June consolidation period on an intraday chart is required.

- The recommended settings for this intraday scan are a 2-hour line chart showing approximately one month's worth of data.

2010 INTRADAY SMT DIVERGENCE AND ORDER FLOW CONFIRMATION

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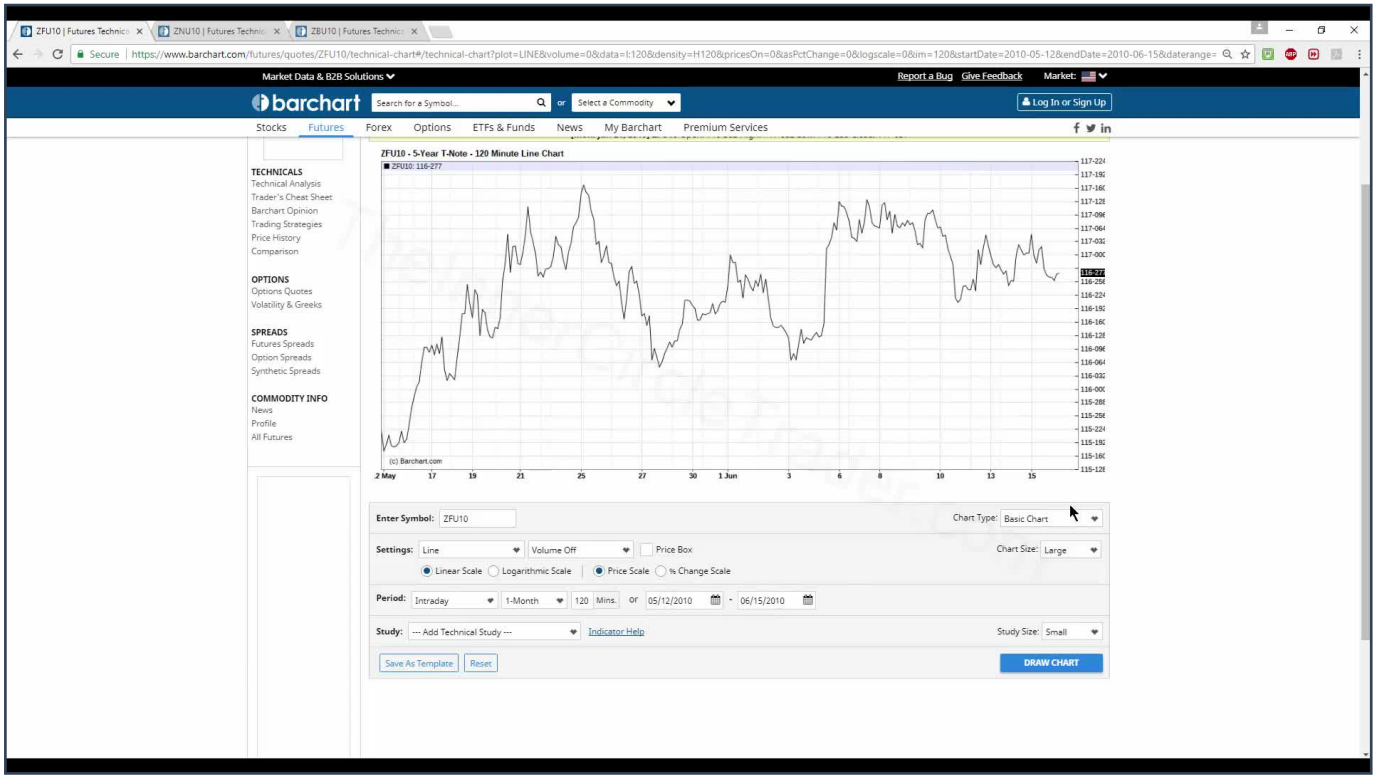

- Observing the intraday charts for 2010 from May 12 to June 15:

  - The 5-year Treasury Note shows a slightly higher low as May transitioned into June.

  - The 10-year Treasury Note made a distinct lower low.

  - The 30-year Treasury Bond also made a lower low.

- This constitutes an SMT Divergence where the 5-year failed to go lower in tandem with the 10-year and 30-year.

- Using a Candlestick chart to analyze institutional order flow, price traded down into a fair value gap, entering a discount array.

- This blend of the SMT Divergence with a discount array and institutional order flow perfectly formed the 2010 Mega trade entry pattern.

2010 MEGA TRADE EXECUTION AND SEASONAL HIGH CONFIRMATION

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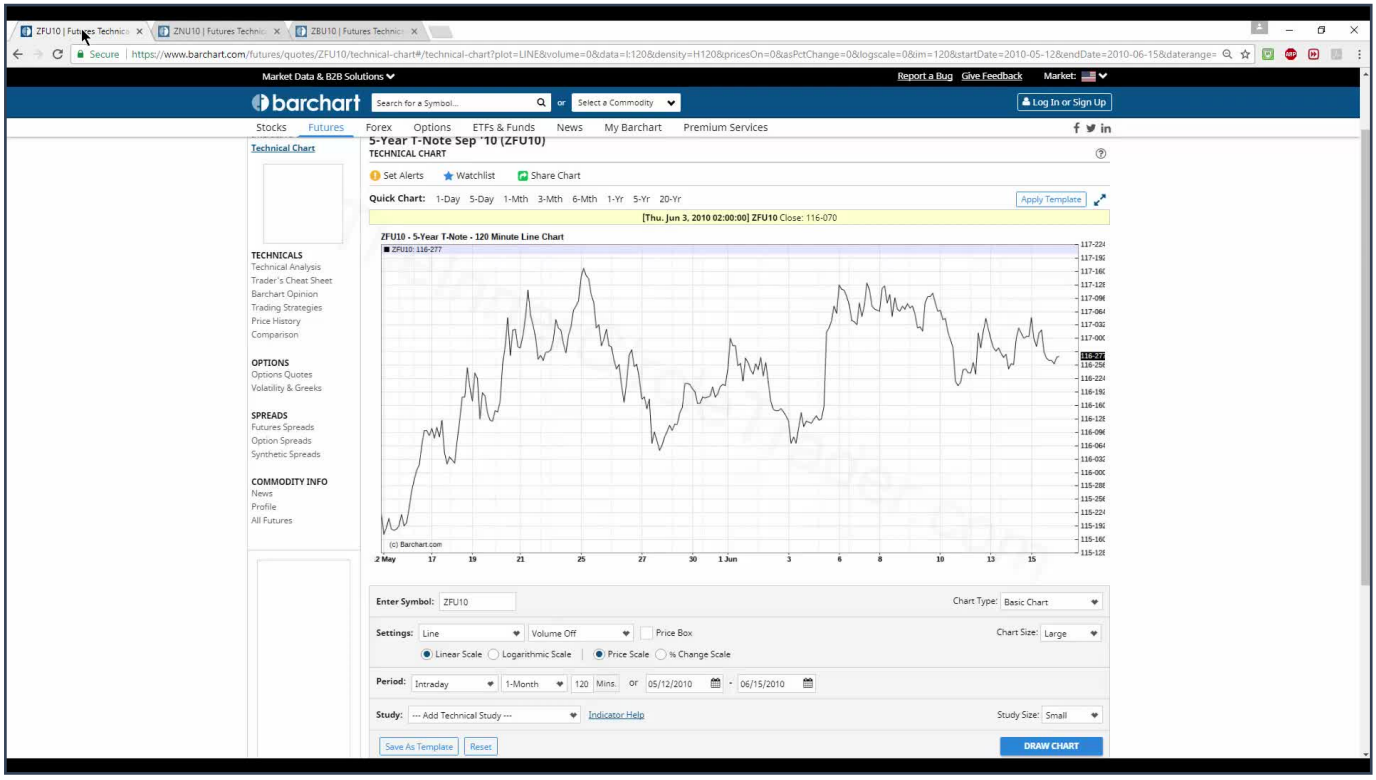

- On the daily time frame for the September 2010 delivery contract, an entry at 122.5, confirmed by the interest rate SMT Divergence, resulted in approximately 14,000 dollars per contract in price movement up to the period just before September.

- The seasonal high was anticipated around the September/October time frame, after which the market typically transitions into a swing trader's model or short-term trading.

- Examining the December 2010 contract, price dipped and made one more attempt to rally, but did not trade higher than the previous high. The October high was indeed established, and the market eventually traded lower.

- This confirmed that the seasonal tendency and the mega trade unfolded as expected, providing 'a lot of money for one setup' by waiting for it each year.

2011 SETUP - DYNAMIC RELATIVE STRENGTH INTERPRETATION

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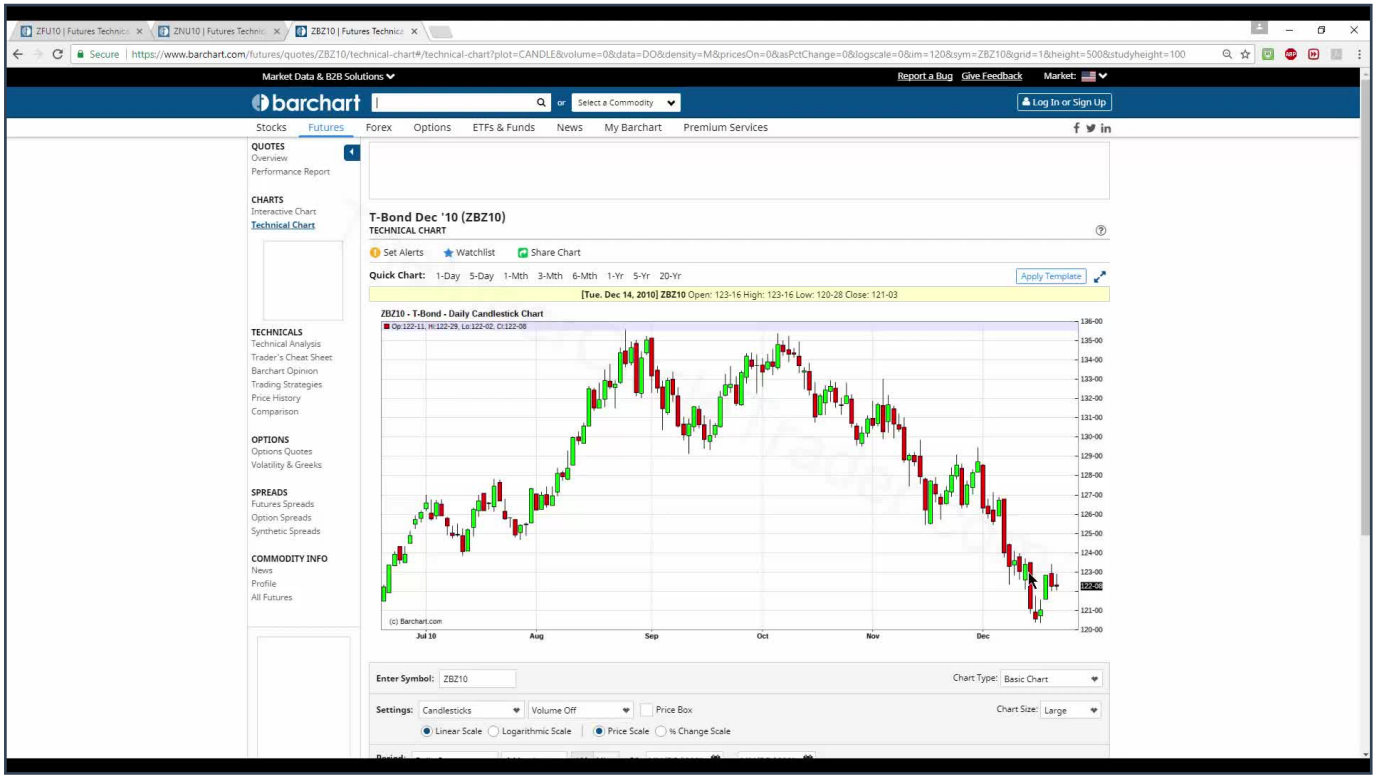

- Analyzing the September 2011 contract for the 5-year Treasury Note during the May/June period, noting that seasonal tendencies can sometimes be a little late.

- This example demonstrates using relative strength differently, where one might have to 'trade through a short-term low' to get the measurement.

- The 5-year Treasury Note exhibits a pattern of 'low, a lower low, and then another lower low' prior to a rally.

- Similarly, the 10-year Treasury Note shows the same dynamic: a 'low, a lower low, and a lower low.'

- In this initial observation, both the 5-year and 10-year treasuries are in agreement.

2011 SMT DIVERGENCE - THREE-POINT REFERENCE INTERPRETATION

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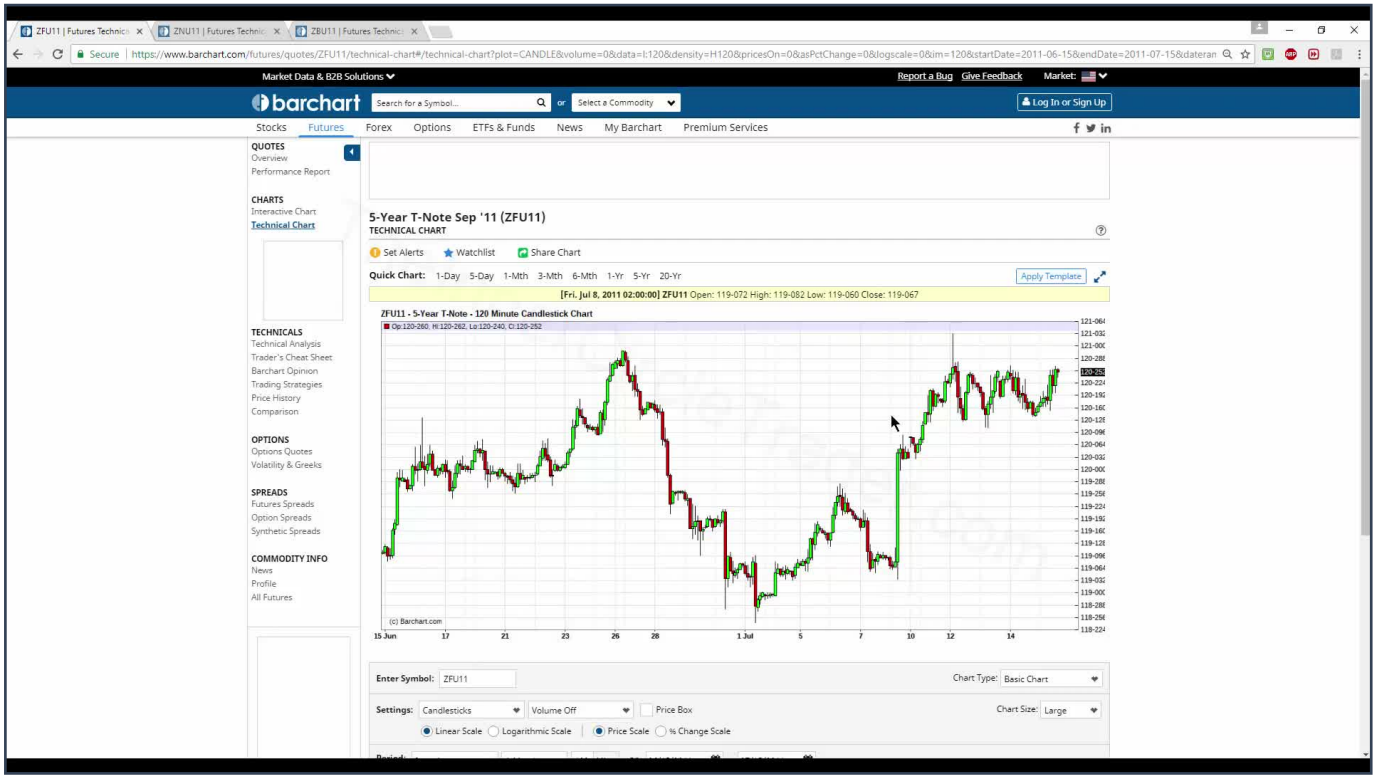

- Contrasting the 30-year Treasury Bond with the 5-year and 10-year notes in 2011:

- The 30-year shows a low, a lower low, and then a higher low. This creates a pattern where the lowest point is in the middle, with higher lows to the left and right.

- This interpretation, using three points of reference, reveals the same 'smart money accumulation pattern' or 'footprint' where smart money places its mark in the marketplace, even if the visual is different.

- The divergence is confirmed by the 5-year and 10-year making lower lows, while the 30-year makes a higher low.

- Although the SMT Divergence occurred a little late in terms of seasonal timing for May/June, the anticipation was still present, and a daily scan was initiated.

2011 MEGA TRADE - JULY ENTRY AND SIGNIFICANT PAYOUT

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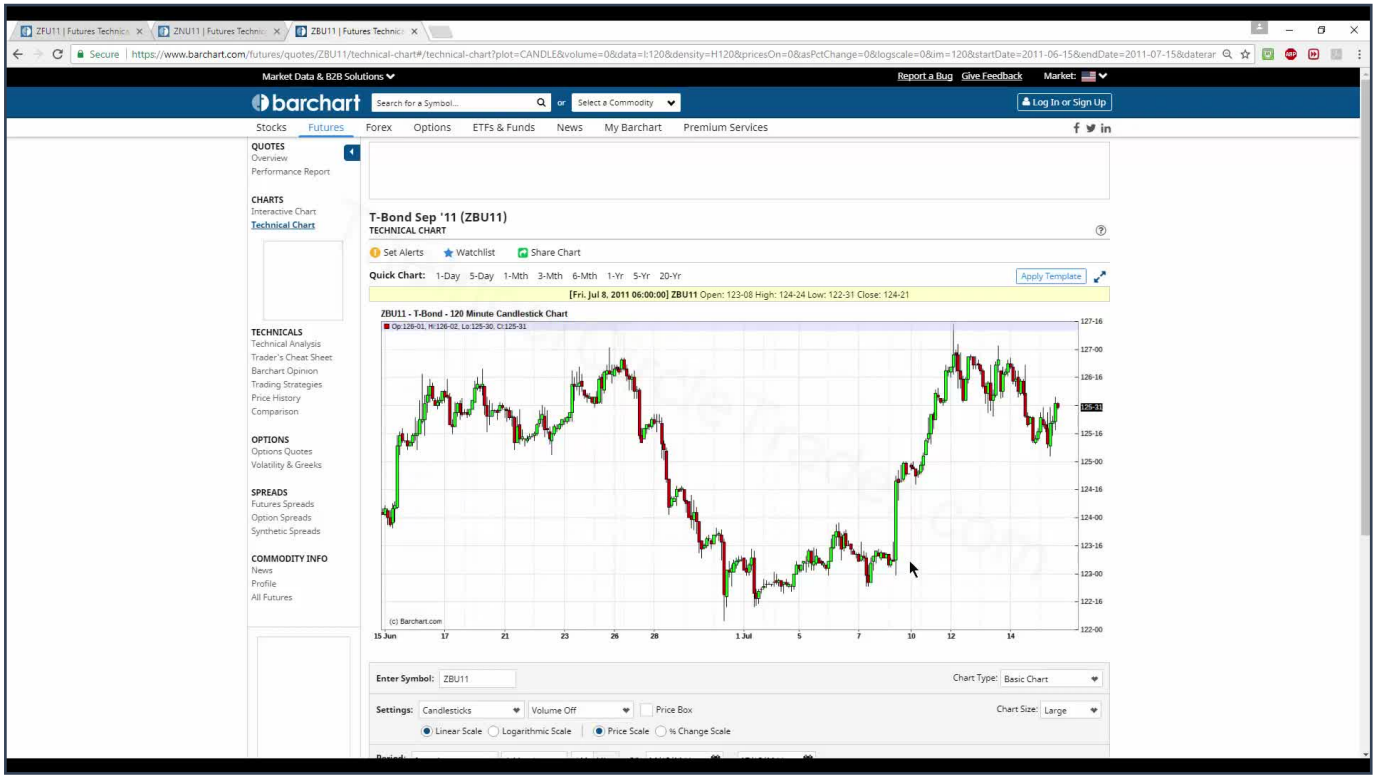

- The SMT signal for the 2011 Mega trade formed on July 8, 2011.

- On the 30-year Treasury Bond, the entry occurred near the low end of its range, after stops had been taken out, and price was within a discount array. It traded into an order block and subsequently rallied significantly.

- Assuming a hypothetical entry at 124, the September delivery contract yielded approximately 19,000 dollars per contract in price movement.

- While the 10-year and 5-year notes did not present obvious signals at this precise point, the 30-year bond's behavior, combined with the earlier SMT divergence, confirmed the opportunity.

2011 DECEMBER CONTRACT CONTINUATION AND 2012 SETUP

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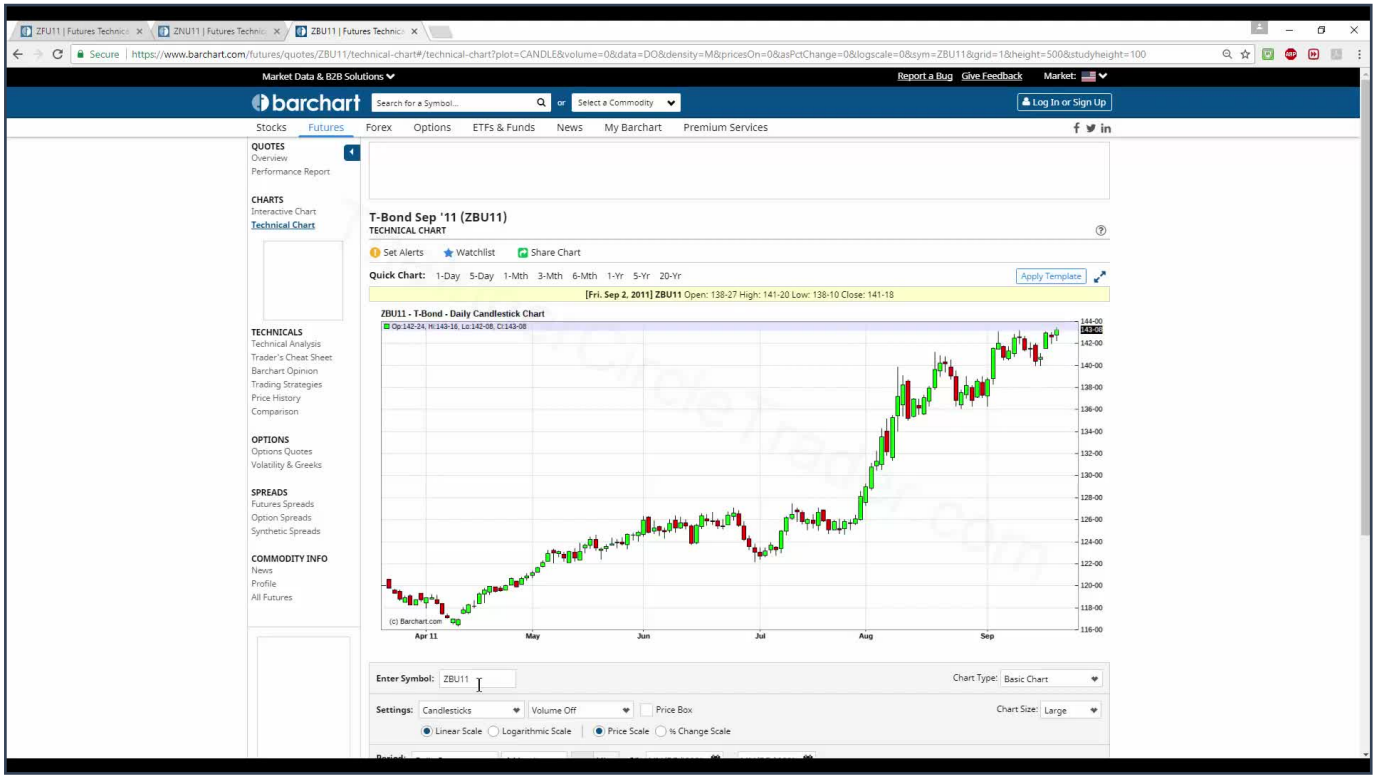


- For the 2011 December contract, after September's expiration, price moved slightly, then experienced a short-term decline into a September/October retracement, followed by another rally leading into November.

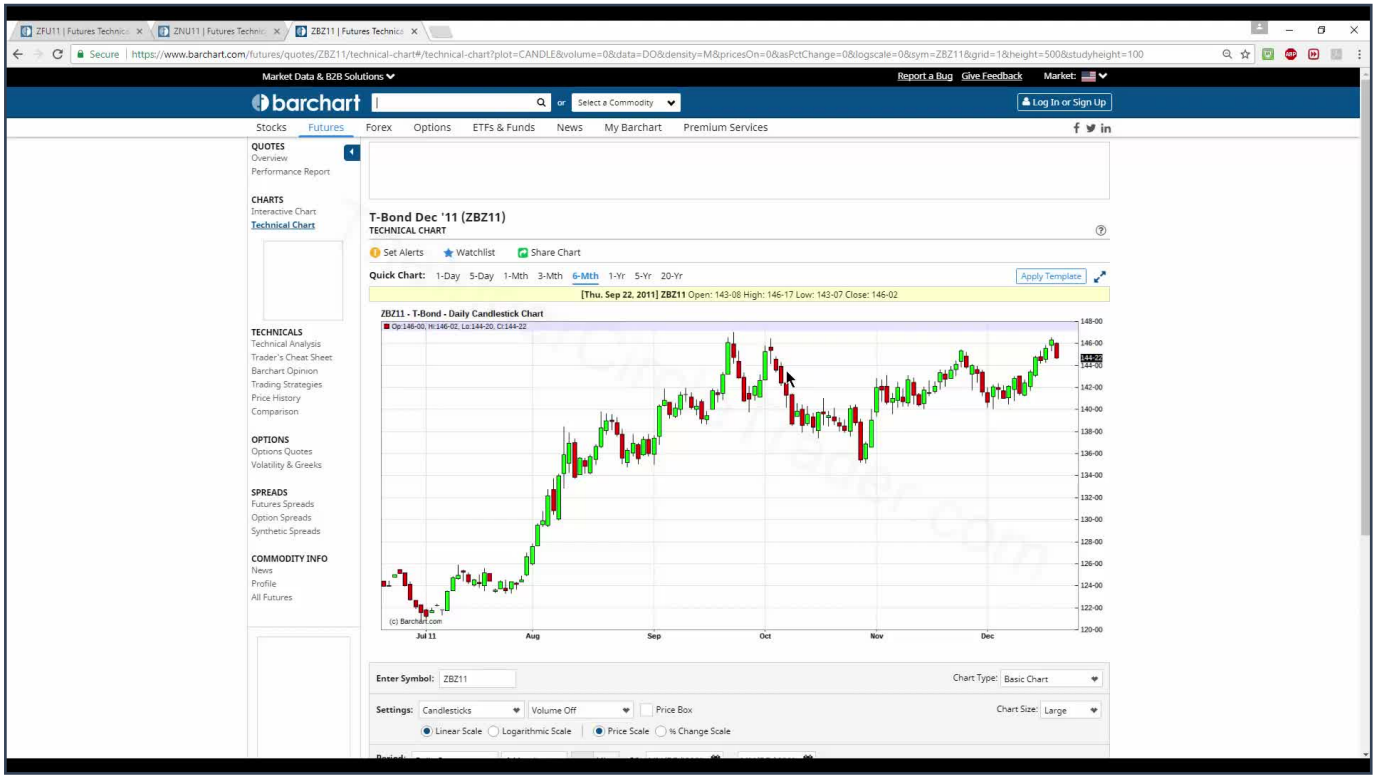
- This confirmed the market transitioning into a 'short-term traders' characteristic, with the September/October period still targeting a seasonal high, which 2011 delivered again.

- Moving to the 2012 opportunity in the May/June time period:

  - The 5-year Treasury Note displayed a lower low.

  - The 10-year Treasury Note showed a higher low.

  - The 30-year Treasury Bond also exhibited a higher low.



- In 2012, an SMT Divergence was evident on the daily chart without needing to drop to a lower time frame (5-year made a lower low, while 10-year and 30-year made higher lows).

- Assuming an entry at 148, the initial price movement yielded approximately 5,000 dollars per contract.

- However, price did not extend much beyond a premium array, failed a 'turtle soup' pattern, and then traded lower.

- The 2012 bond market did not provide a nice extrapolated mega trade move; it only moved about 5,000 dollars per contract before declining and entering a range-bound consolidation.

- While there was an opportunity for a rally in September/October for short-term swings, the continuous theme of the May/June low leading to higher prices in September/October was absent. This marks 2012 as the first year in the examples that did not yield a true 'mega trade'.

2013 - ANOTHER 'DUD YEAR' FOR MEGA TRADES

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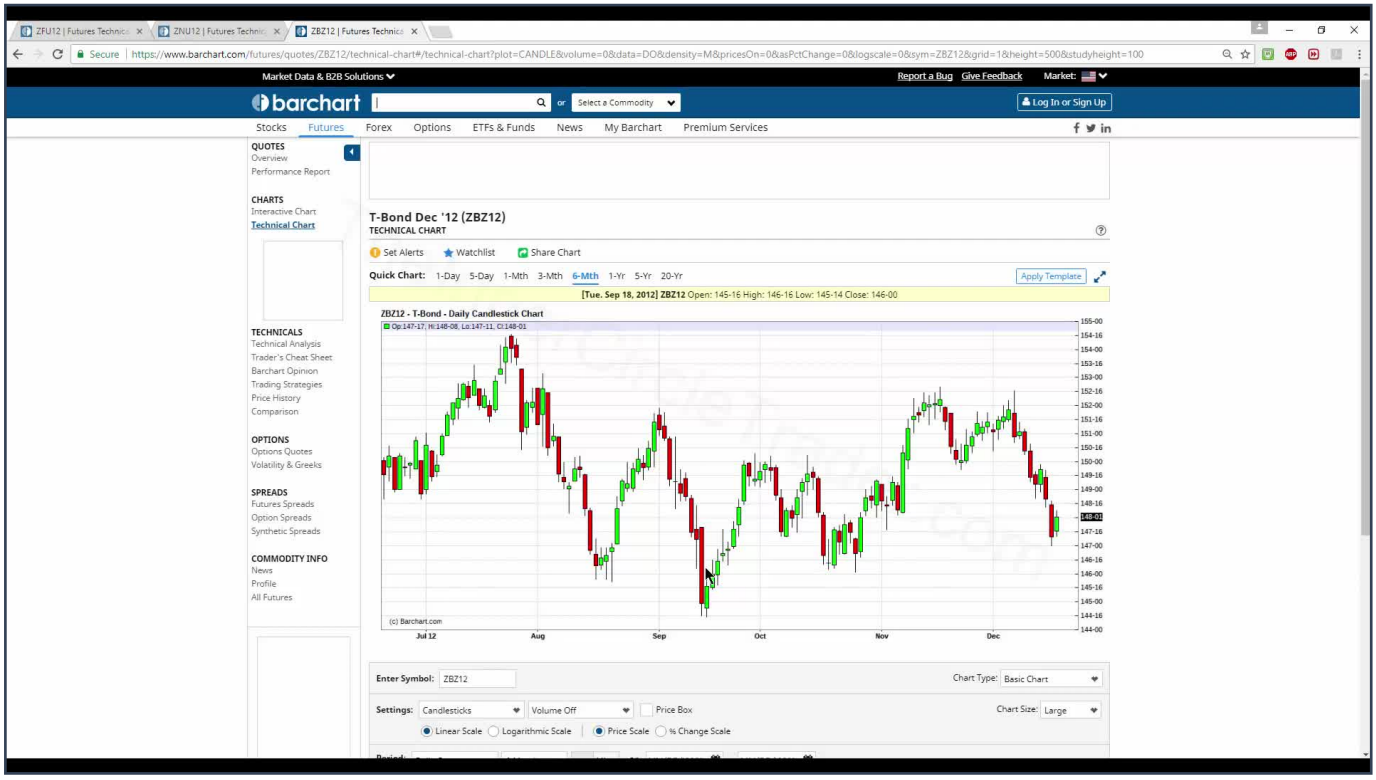

- 2013 presented a back-to-back 'dud year' for the May/June mega trade setup.

- During the May/June period, the 5-year Treasury Note, 10-year Treasury Note, and 30-year Treasury Bond all exhibited lower lows, indicating that bonds were in a clear downtrend.

- Consequently, there was absolutely zero mega trade forming based on the seasonal tendency, and no 'seasonal pop' was observed leading from May/June into the September/October seasonal high period.

- Although the September/October time period still created buying opportunities for short-term traders, the sustained mega trade was simply not present.

- Both 2012 and 2013 are considered 'dud years' for the bond mega trade strategy.

2014 - A 'BARN BURNER' YEAR WITH JULY SMT DIVERGENCE

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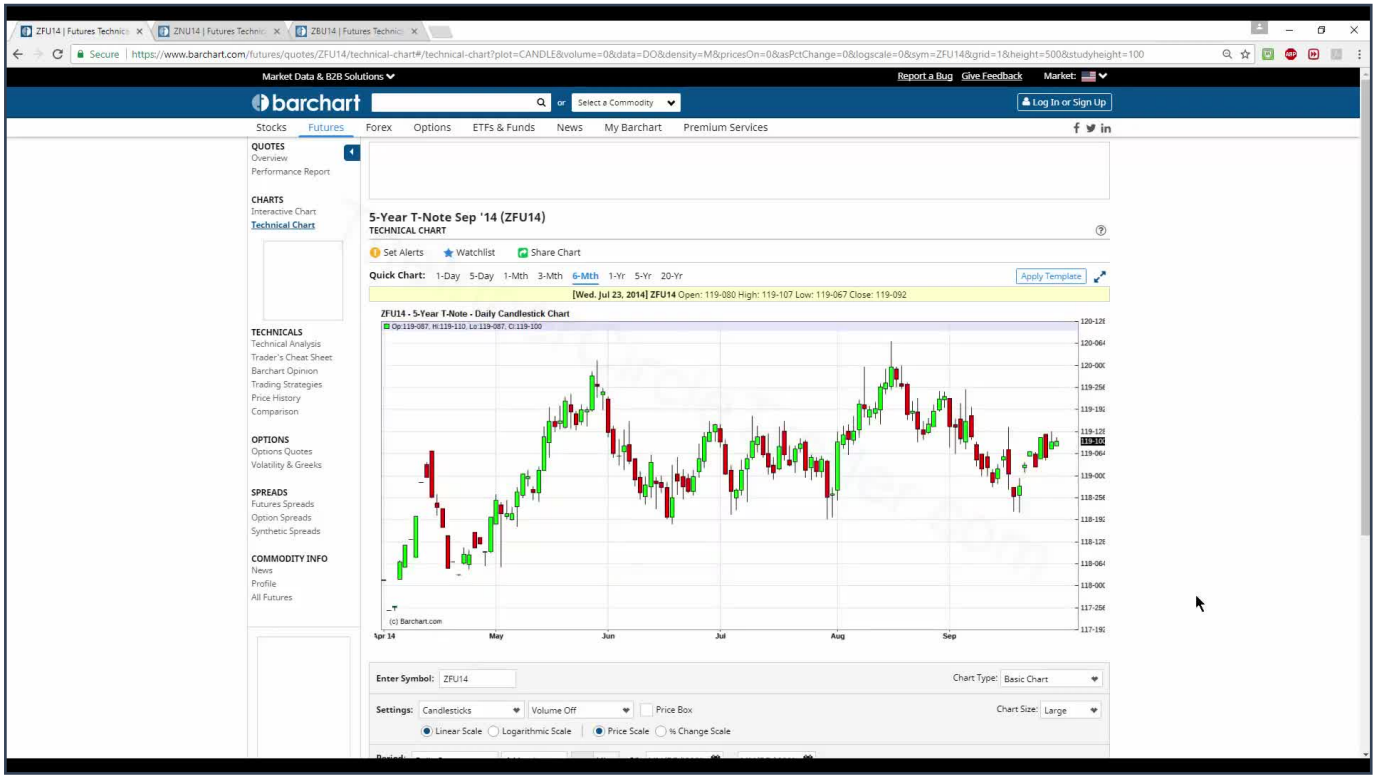


- 2014 returned with a 'barn burner year' for bond mega trades.

- During the May/June period:

  - The 5-year Treasury Note showed a low, followed by a lower low, then rallied.

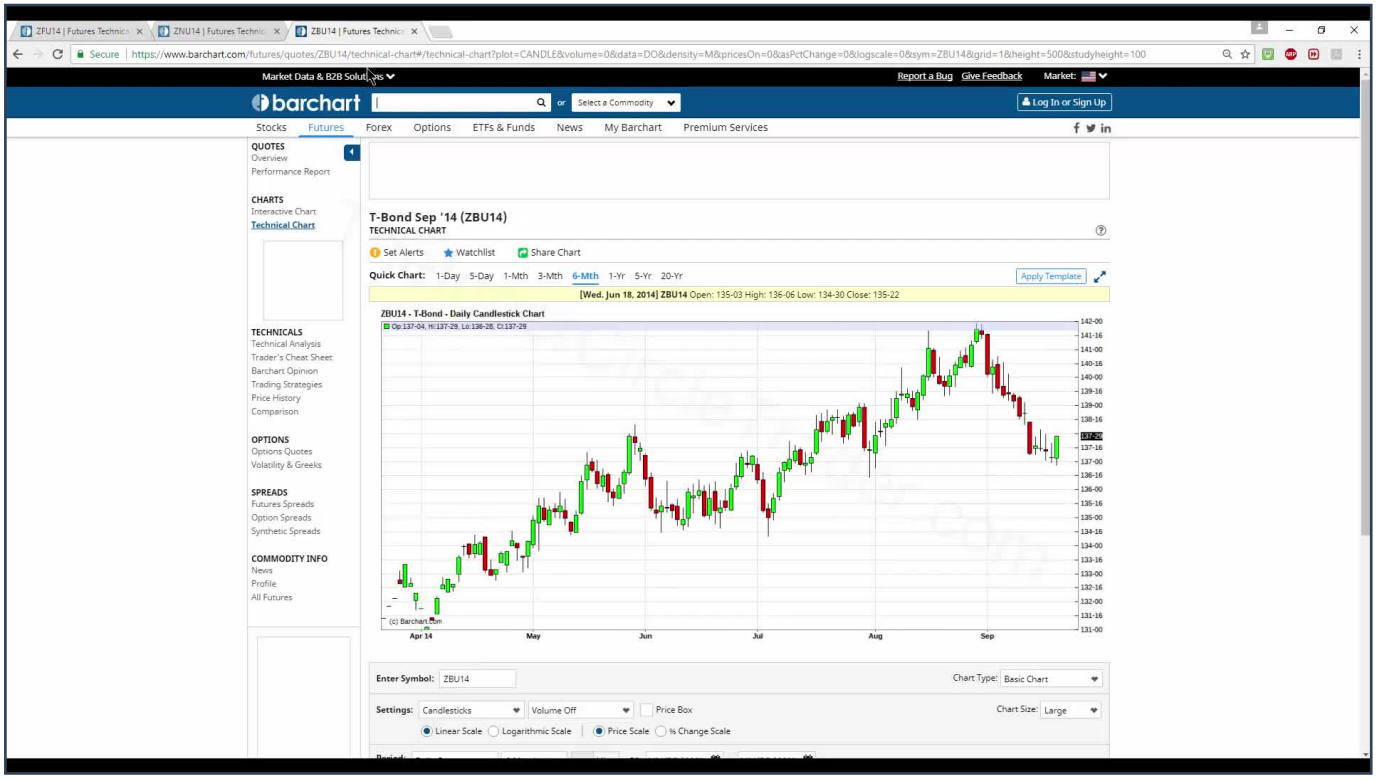
  - The 10-year Treasury Note made relatively equal lows in mid-June.

  - The 30-year Treasury Bond failed to go lower, presenting an initial SMT Divergence against the 5-year.

- However, in July, a significant 'wick down' occurred, taking out equal lows, which is a 'stop run' and an instance of market manipulation in bonds.

- At this point, the 30-year made a distinct lower low in July, while the 10-year and 5-year did not make lower lows in July.

- This created another SMT Divergence in July, confirming a run on sell stops, indicating smart money buying.



- For the 2014 mega trade, assuming an entry at 135 after the July SMT Divergence and stop run, the September contract yielded approximately 7,000 dollars per contract in price movement.

- The December contract showed even further gains, with a strong run-up in October, confirming the typical September/October/November rally.

- This demonstrates that despite back-to-back 'dud years,' the bond market can return with significant movements.

- Moving to the 2015 year, during the May/June time period:

  - The 5-year Treasury Note showed a low, followed by higher lows, including one at the end of June.

- The 10-year Treasury Note made a lower low, establishing an SMT Divergence against the 5-year's higher low.

  - The 30-year Treasury Bond also made a lower low, creating the month's lowest point.

2015 MEGA TRADE - SIGNIFICANT PAYOUT WITH AUGUST REVERSAL

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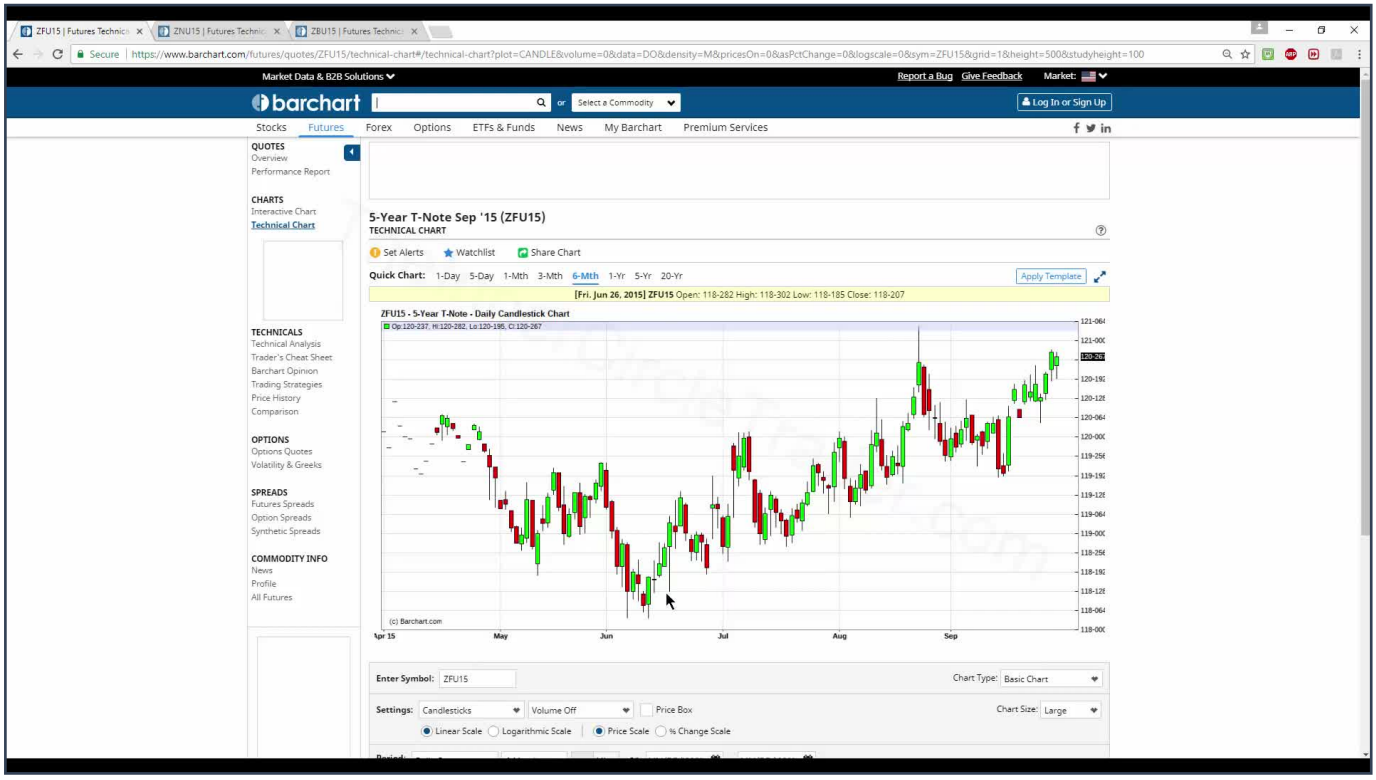

- With an SMT Divergence present in 2015, assuming an entry at 149 (without picking the absolute best price), the subsequent rally yielded approximately 14,000 dollars per contract.

- However, this rally created a short-term high in August, trading back to a premium array and a bearish order block, after which price fell off aggressively, rebalancing price delivery.

- The December contract showed the typical September/October/November rallies but did not exhibit further extrapolation on the upside.

- Nonetheless, 2015 was another year where the mega trade unfolded with significant price magnitude for the bond market.

2016 MEGA TRADE - PAYOUT DESPITE LACK OF AUTUMN CONTINUATION

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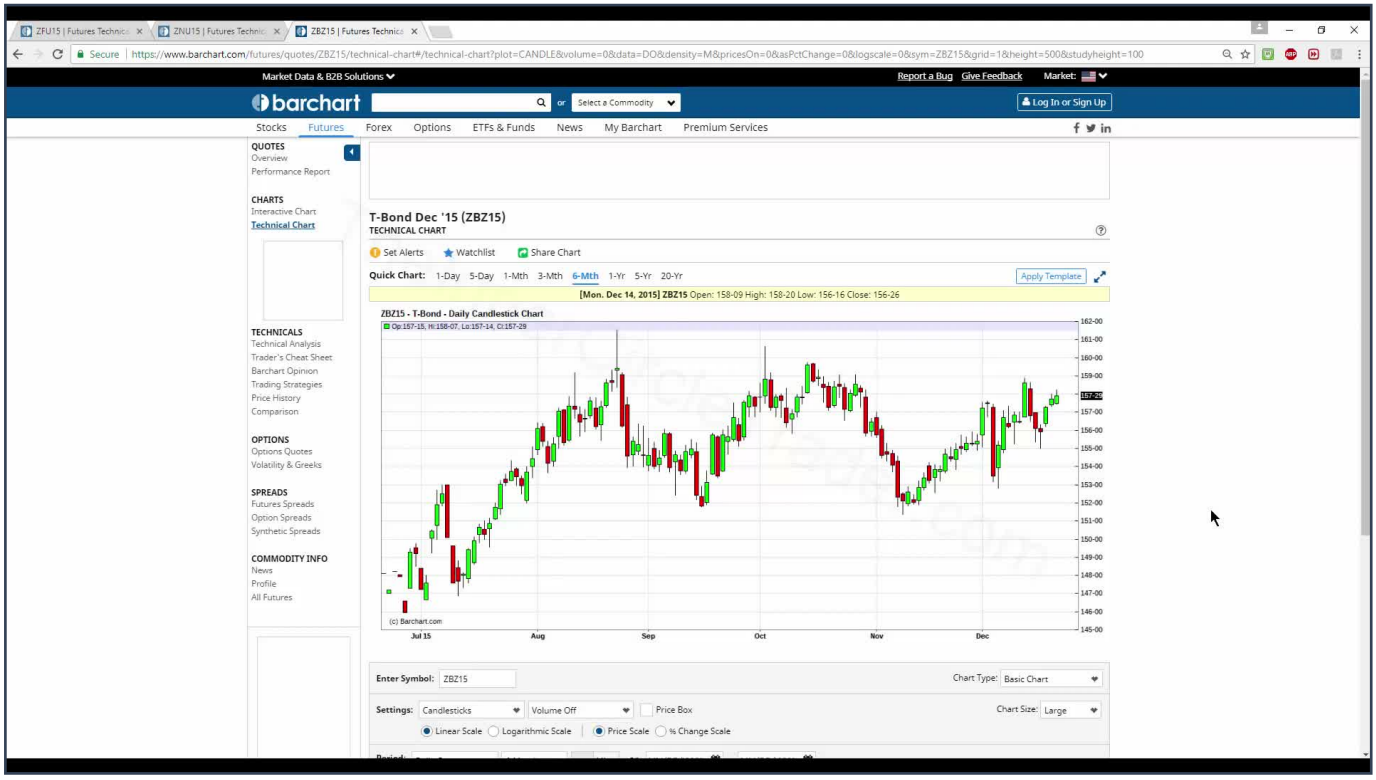

- For the 2016 September delivery contract:

  - During the May/June period, the 5-year Treasury Note showed a lower low and a series of lower lows.

- The 10-year Treasury Note made a higher low at the end of May into June, failing to make a lower low within its series of lows.

  - The 30-year Treasury Bond also exhibited a higher low.

- An SMT Divergence was clearly present (5-year lower, 10-year and 30-year higher).

- Assuming a hypothetical entry at 163, this resulted in approximately 14,000 dollars per contract, qualifying as a 'nice Mega trade' with a big, extrapolated move.

- However, the rally died out in July and subsequently went lower. The December contract confirmed this, with the high occurring in July and no follow-through rally in the September/October/November time period; instead, the market was in 'Bear Country.'

- Despite this, 2016 still paid out handsomely as a mega trade.

2017 SETUP - SMT DIVERGENCE IN THE CURRENT YEAR

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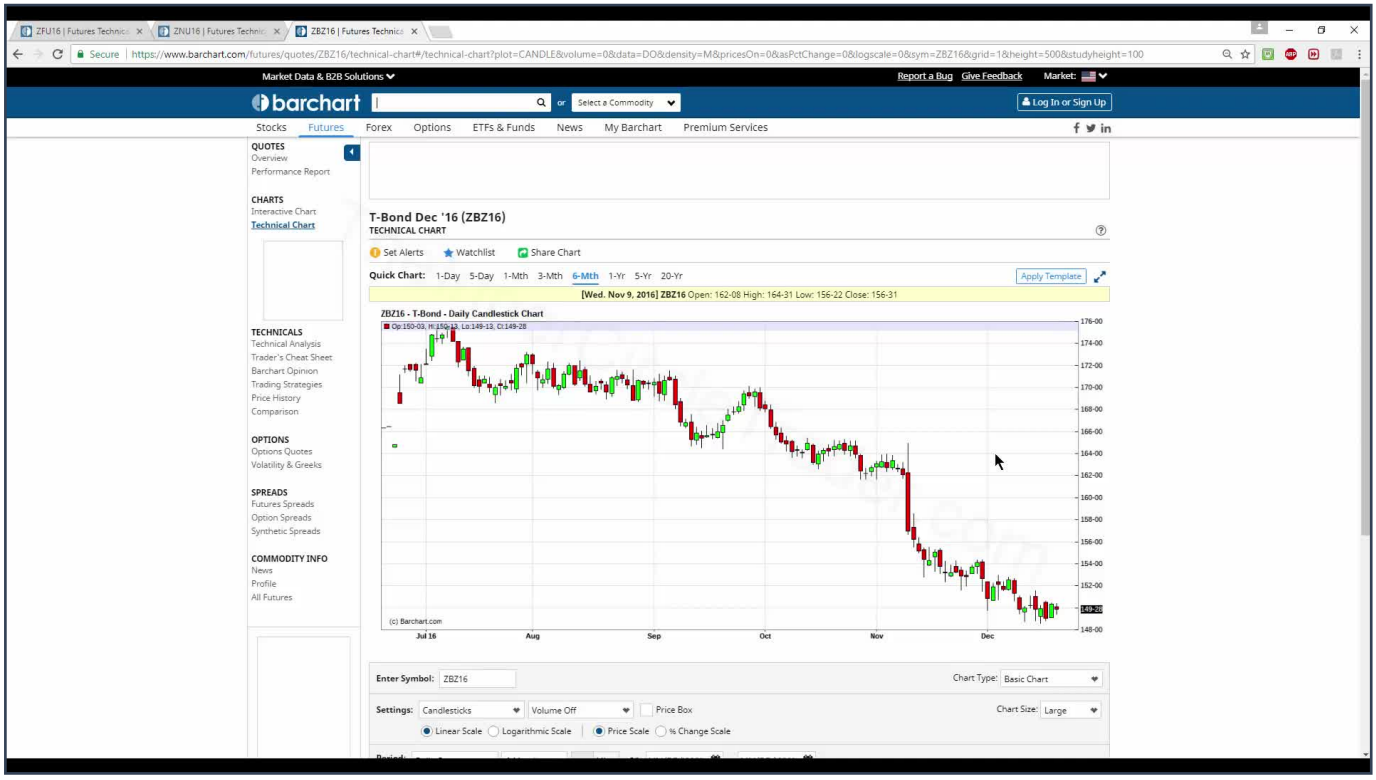

- Examining the 2017 September delivery contract for the 5-year Treasury Note during the May/June seasonal time period:

  - A low formed in April, followed by a higher low in May, after which the market rallied.

  - The 10-year Treasury Note also exhibited a higher low.

  - However, the 30-year Treasury Bond made a lower low.

- This confluence created an SMT Divergence: the 5-year and 10-year notes showed a willingness not to go lower during the seasonal time period, while the 30-year bond made a lower low, signaling smart money accumulation.

2017 OUTCOME AND CONCLUDING THOUGHTS ON BOND MEGA TRADES

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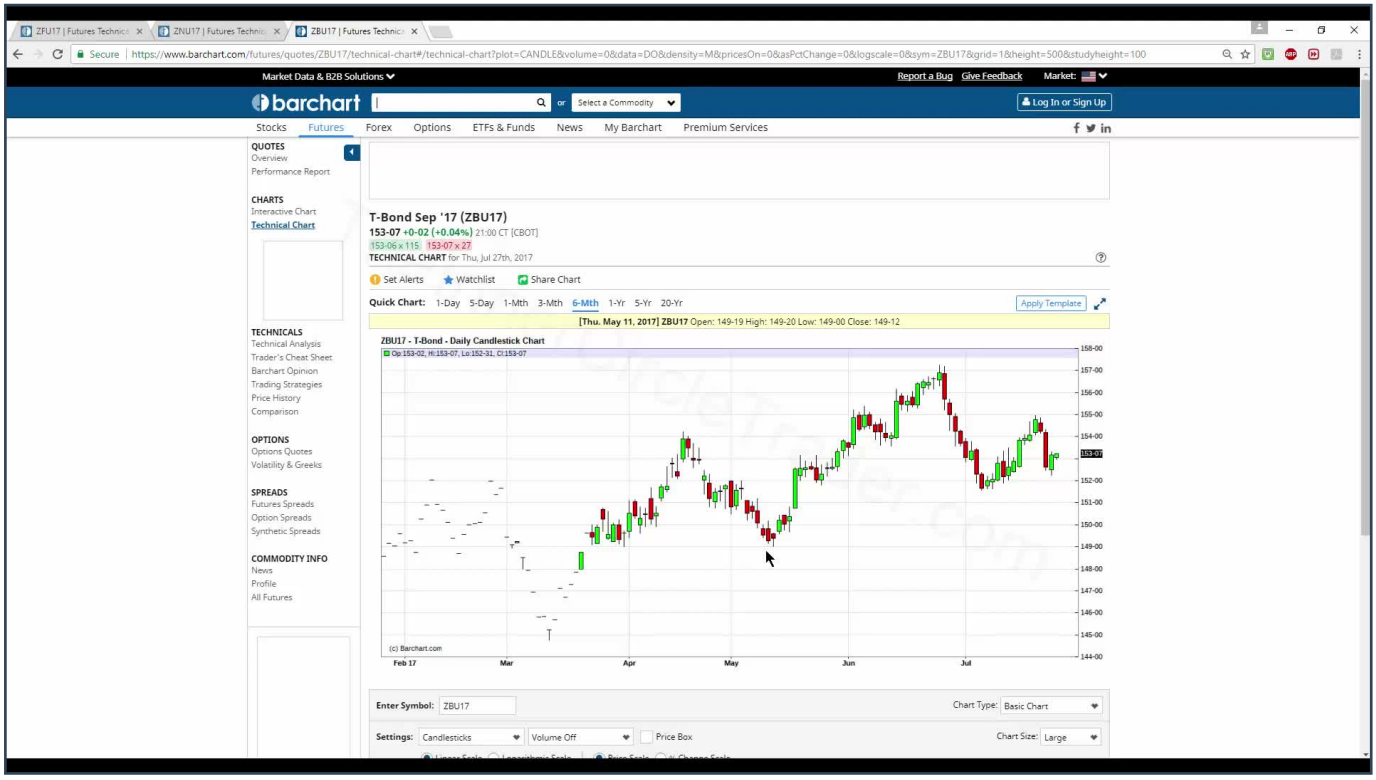

- For the 2017 setup, assuming an entry at 150, the initial price movement yielded approximately 7,000 dollars per contract, with the year not yet concluded.

- ICT clarifies his definition of a 'mega trade' in the bond market as typically requiring 10,000 dollars or more per contract in annual movement; anything less is considered a 'really good trade' but not a mega trade.

- This teaching provides the fundamental basis for identifying significant moves in the bond market.

- It is encouraged to apply this method to earlier years by adjusting intraday chart settings (e.g., 1-month data, 2-hour chart).

- The SMT Divergence is consistently present, serving as the unmistakable 'footprint' left by smart money. The sheer magnitude of their orders causes this divergence across the 5-year, 10-year, and 30-year yields, making these powerful trading opportunities.